

Oct Nov 22-VARIANT 13

1A:

A-Operating a machinery at full capacity without providing it the necessary servicing may cause the efficiency of a particular machine to decline. **And also, it can be seen that it is performing already at its optimum.** This is why, this becomes correct.

B: Providing risk management advice to entrepreneurs will enhance the quality of “enterprise”

C: Increasing the usage of fertilizers would improve the quality of land, or in other words, land productivity.

D: Making apprenticeships and training compulsory will improve the quality of labor, or in other words, labor productivity.

2D:

The demand for money explains the desire of people for a definite amount of money.

The Demand for Money

- **Transactions motive. The transactions motive for demanding money arises from the fact that most transactions involve an exchange of money. ...**
- **Precautionary motive. People often demand money as a precaution against an uncertain future.**
- **Speculative motive: Money, like other stores of value, is an asset.**

During a period of deflation, Aggregate demand falls. This may be due to a fall in “consumption” or in other words, transactions, that leads to a fall in “Aggregate monetary demand”

As can be seen above that Aggregate monetary demand reduces because of a fall in consumption, **so which function of money explains this fall in consumption?**

The answer is, “store of value”. When money effectively performs the function of store of value, that is, it is able to store purchasing power to be used in future, as a result of perhaps high interest rates that could protect the real value of money, this leads to a rise in savings.

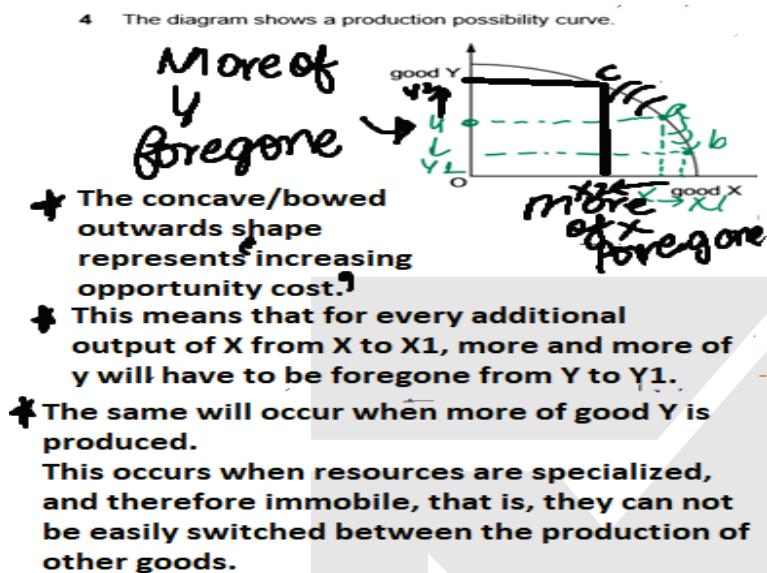
When savings ratio, that is, the proportion of household disposable income saved rises, automatically, consumption falls, in turn causing “monetary Aggregate demand” to fall, thus making it correct.

3-B: When division of labor and specialization is practiced, that is, production is divided into separate processes that are assigned to different people, this leads to a higher degree of productivity, that is, **a greater output will be produced per worker.**

And when, there is a higher level of productivity, as a higher output is produced per unit of resources by labor, per labor hour worked, this implies a lesser usage of resources and in turn less wastage, which means that there will be “lower costs”

But, due to specialization, when the worker is skilled in a narrow range of tasks, he will **perform repetitive tasks**. THIS IS WHY, OPTION B IS CORRECT.

4-D:



This is why, key D , becomes correct.

5-C:

Why C: A flood defense is a public good, provision of which will not be done by the private sector, in the sense that, private sector will not finance it. This is because of the free rider problem, that is when consumers are aware that they would enjoy equal benefits of the good as those who pay for it, without paying for it, and therefore, they may not be willing to pay for them, which means that it is difficult to set a price for them, or in other words, there is no mechanism to charge prices for them . This means that, the private sector who is motivated with the objective of “profit maximization” will never engage in provision.

A,B,D: Although ,the tasks of building, designing and maintaining may be outsourced or **delegated** by the government to the “private sector”, thus making them incorrect

6-C:

A: Consumer surplus does not mean that consumer benefits will be greater than producer benefits

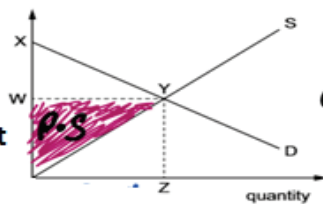
B: This is the definition of shortage.

C: Consumer surplus is the difference between the maximum price a consumer is willing to pay for a product and the price that he ends up paying, that is, the market price. The existence occurs when consumers are willing to pay more than the market price for rice. This is why, this becomes correct

D: Again, production of rice exceeding supply explains “surplus”, but does not represent the existence of consumer surplus

7-B:

✦ **Producer surplus** is the difference between the minimum price a producer is willing to accept and the price that he ends up charging i.e. the market price.



Which area represents producer surplus?

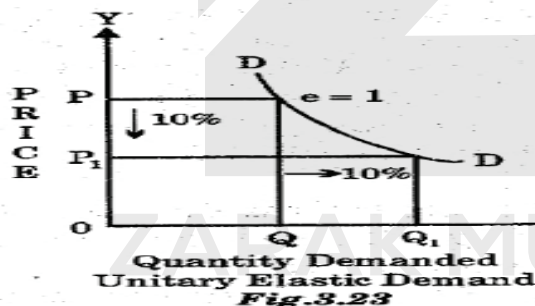
- A OWYZ minus OWY → cost of production
- B OWYZ minus OYZ**
- C OXYZ minus OYZ → $C \cdot S + P \cdot S$
- D OXYZ minus WXY → Total revenue or Total expenditure



8-C

Curve 1 represents “unitary elastic demand”, as in this case, the Total Revenue or Total expenditure is shown to remain unchanged.

This is because, in case of unitary elastic demand, a percentage change in price brings about an equal percentage change in qty demanded. For example, a fall in price by 10% brings about an extension in qty demanded by 10%, leaving Total Revenue unchanged.



Curve 3 represents **elastic demand**, this is because, there is a negative relationship between price and Total Revenue in case of elastic demand. This is because, a percentage change in qty demanded is greater than a percentage change in price. For example, a **fall in price by 10%** brings about an extension in qty demanded by a relatively larger percentage of 50%, causing the **Total Revenue to rise**.

Curve 2 represents perfectly inelastic demand, as in that case, the percentage change in price is equal to the percentage change in Total Revenue. This is because any rise in price, leaves the qty demanded unchanged, therefore causing a rise in Total revenue, by the same %, a rise in price was brought by.

9-D:

A: government's decision to import wheat in times of shortages will make supply elastic in response to changes in demand, since supply can be increased.

B: Usage of fertilizers will increase the yields, and a rising output means that there will be higher stocks of finished agricultural goods to meet changes in demand, making supply more elastic.

C: If due to modern preservation techniques, agricultural goods are able to be stored, this will in turn make supply more elastic in response to changes in demand.

D: However, if a very long time is required to produce additional output, this will make the supply more inelastic in the short-run as production is dependent upon harvesting time, which will make the supply "inelastic", this is why, this becomes correct.

10-B:



A - Complements are jointly demanded goods that are used along with each other, and the demand for them is interconnected to one another. There is a negative relationship between the price of one good and the demand of another in case of complements.

B- Jointly supplied goods represent goods that are produced together but for different purposes. A rise in demand for honey leads to an extension in qty supplied for honey and in turn a rise in supply of beeswax. There is a positive relationship between price of one good (good X) and the supply of another good (good Y).

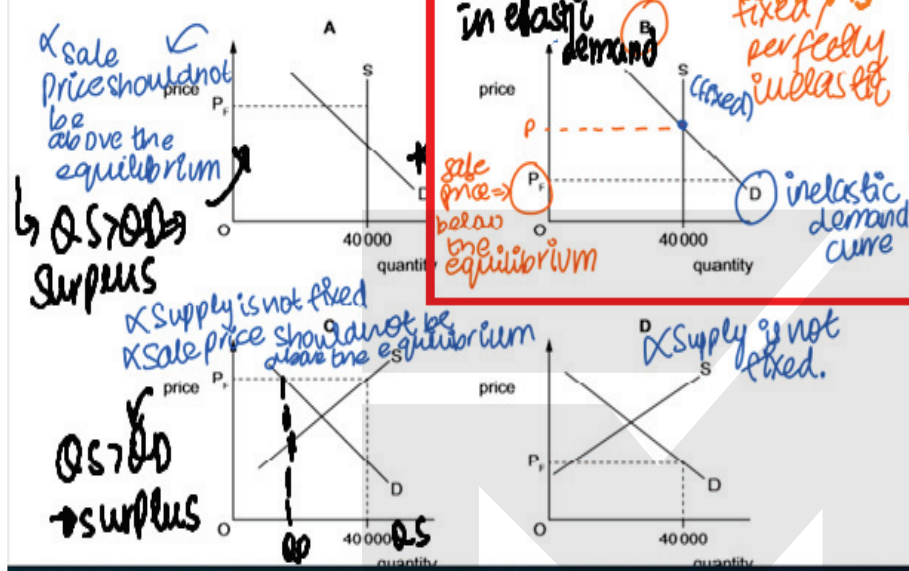
C - Substitutes are alternatives, options available in a competitive market that are used in place of each other. There is a positive relationship between the price of one good and the demand for another in case of substitutes.

D- Derived demand is when the demand for the final good leads to a rise in the demand for the component used in producing it. A rise in demand for tyres, leads to a rise in the demand of rubber, for e.g.

11-B:

- 11 The final of a major sports event is held in a stadium which has a fixed capacity of 40,000 people. The price for a seat is set at P_f , but when the tickets go on sale all tickets are sold very quickly with many disappointed people unable to buy a ticket.

Which diagram best represents this?



Most importantly, this represents a situation of shortage, that is, when qty demanded exceeds qty supplied. This is imp as the qs says that "many disappointed people were unable to buy the ticket"

12-D:

- 12 Which product has the lowest price elasticity of demand?

	price rises by (%)	quantity demanded falls by (%)
A	0	10
B	5	5
C	10	5
D	10	0

$PED = \frac{\% \text{ change in } QD}{\% \text{ change in price}}$

A $\rightarrow \frac{-10\%}{0\%} \Rightarrow \infty \rightarrow$ perfectly elastic

B $\rightarrow \frac{-5\%}{5\%} \Rightarrow -1 \rightarrow$ unitary elastic

C $\rightarrow \frac{-5\%}{10\%} \Rightarrow -0.5 \rightarrow$ inelastic

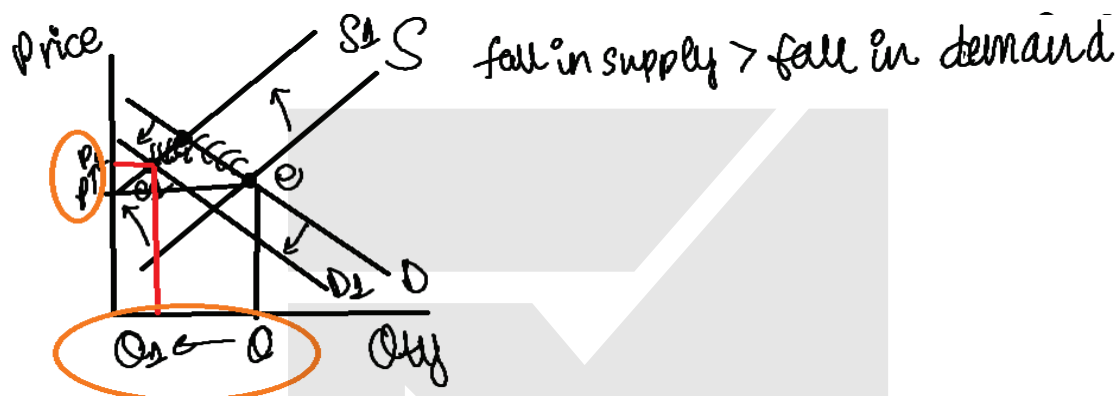
D $\rightarrow \frac{0\%}{10\%} \Rightarrow 0 \rightarrow$ perfectly inelastic demand ($PED=0$)

$PED = 0$ (lowest value)

13-B:

A: When a decrease in demand is larger than a decrease in supply, this will lead to a surplus, and in turn a **fall in price level**, and a **contraction in qty supplied**. Therefore, this becomes incorrect.

B: When a decrease in demand is smaller than a decrease in supply, this means that supply has decreased by more, which means that there is a shortage, **and in turn the equilibrium prices rise, and this leads to a contraction in qty traded (quantity sold)**. This is why, this becomes correct. This can be seen in the diagram below.

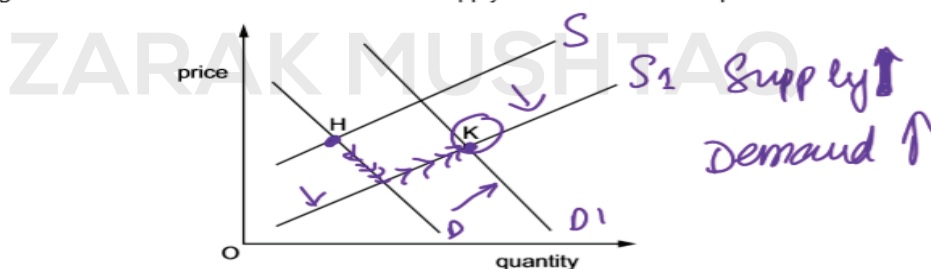


C: Although an increase in demand by more than an increase in supply causes a shortage and in turn a **rise in general price level**, but this leads to an **extension in qty supplied**, representing a **rise in equilibrium qty (qty sold)**, thus making it incorrect.

D: An increase in demand that is smaller than an increase in supply represents that supply has risen by more, which reflects that **the equilibrium prices will fall, instead of rising**. This, therefore, becomes incorrect.

14-A:

14 The diagram shows two demand curves and two supply curves. The initial equilibrium is at H.



Which combinations of shifts in the demand and supply curves would result in a change in the equilibrium position from H to K?

- ☒ A an increase in demand and an increase in supply
- ☐ B an increase in demand and a decrease in supply
- ☐ C a decrease in demand and an increase in supply
- ☐ D a decrease in demand and a decrease in supply

15-B:

The effect of a transfer payment, such as the one provided by Australia in 2013, depends on its impact on the distribution of income across the population.

Option B, **progressive**, is the correct answer because a transfer payment that is provided to individuals with lower incomes tends to reduce income inequality. By providing a transfer payment of 900 to those who earned less than 100,000 per year, Australia is essentially redistributing income from higher-income earners to lower-income earners. This means that those who earn less than 100,000 per year will have a higher percentage increase in their income due to the transfer payment than those who earn more than 100,000 per year, since they would not be receiving transfer payments.

A-Option A, neutral, would suggest that the transfer payment has no impact on income distribution, but this is not the case. The transfer payment is specifically targeted towards those who earn less than 100,000 per year, which means that it has a redistributive effect.

Option C, proportional, would suggest that the transfer payment has the same impact on income distribution across all income groups. However, as explained above, the transfer payment is specifically targeted towards those who earn less than 100,000 per year, which means that it has a greater impact on income distribution for lower-income earners.

D-Option D, regressive, would suggest that the transfer payment has a greater impact on income distribution for higher-income earners. However, this is not the case as the transfer payment is targeted towards those who earn less than 100,000 per year, which means that it has a greater impact on income distribution for lower-income earners.

16-A:



* Total expenditure of the subsidy to the government is "per unit subsidy * new equilibrium qty"

-When the supply is inelastic, producer would not be able to respond more and pass majority of the benefit to the consumers in form of lower prices, this means that the equilibrium prices would not fall by much.

-And, since the demand is inelastic, this would lead to an extension in qty demanded by a further smaller percentage than a fall in price.

-Since new equilibrium qty extends by less, the total expenditure on subsidy would be the least.

17-B:

A: This represents advantage of privatization, and in turn a reason for it, that decisions will no longer be influenced by short-term political gains.

B: This is a disadvantage of privatization that private owned enterprises will under produce merit goods, which means that, these benefits of merit goods will not be taken in to account in decision making, thus making this option correct.

C: This is again an advantage of privatization, that the owners would have more incentives in decision making, therefore leading to efficiency.

D: This is again an advantage of privatization, that the managers would have more incentives to introduce modern technology, therefore leading to efficiency. Therefore, this becomes the reason for privatization.

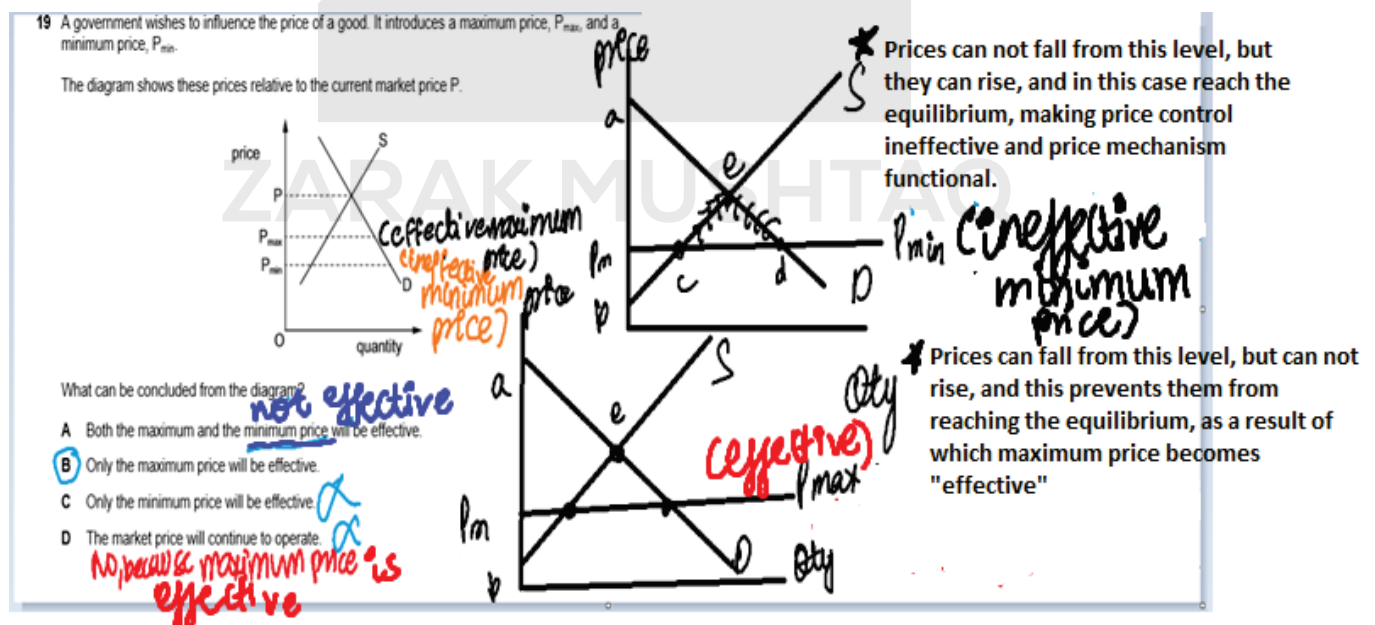
18:A

The incidence of taxation refers to the distribution of the burden of tax among producers and consumers when the government introduces indirect tax.

This is because, burden of indirect tax is transferable

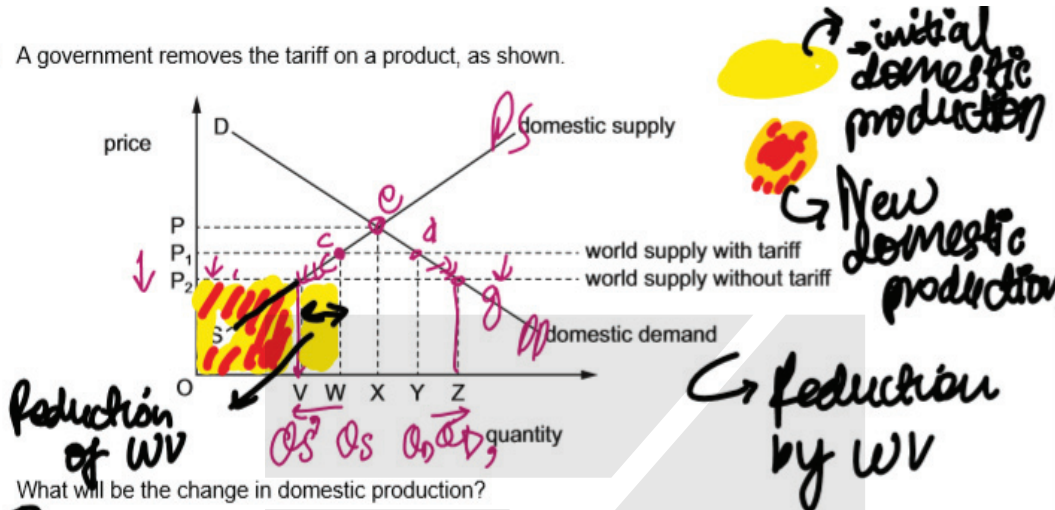
This is why, option A , becomes correct and no other option can be correct

19-B:



20-A:

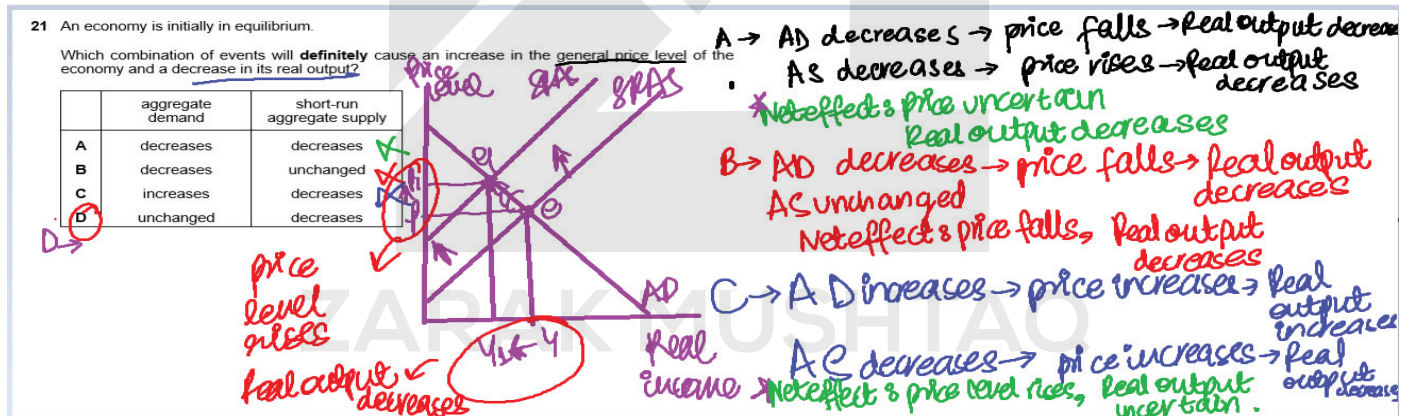
20 A government removes the tariff on a product, as shown.



What will be the change in domestic production?

- ☒ A a reduction of WV
- ☐ B a reduction of XV
- ☐ C a reduction of XW
- ☐ D a reduction of ZY

21-D:



- A- AD decreases- price falls, real output decreases. AS decreases- price rises, real output decreases. **Net effect-> price unchanged(uncertain), real output decreases.**
- B- AD decreases, price falls, Real output decreases. AS unchanged. **Net effect-> price falls, real output decreases**
- C- AD increases- price increases, real output increases. AS decreases -price increases- real output decreases. **Net effect-> price increases, real output unchanged(uncertain)**
- D- AS falls- Price rises, Real output decreases.

22 The government of a country changes from a balanced budget to a budget deficit.

From which point along the country's long-run aggregate supply curve (LRAS) will this change cause the largest increase in employment without creating inflationary pressure?

Aggregate supply is perfectly elastic
↓
perfect availability of resources
↓
No change in price and rise in real output.

government spending = Tax revenue
government spending is greater than tax revenue.
↓
ADT

23 The price and volume indexes of a country's imports and exports are shown in the table, for year 2 [year 1 = 100].

year 2 price index		year 2 volume index	
imports	exports	imports	exports
110	121	90	80

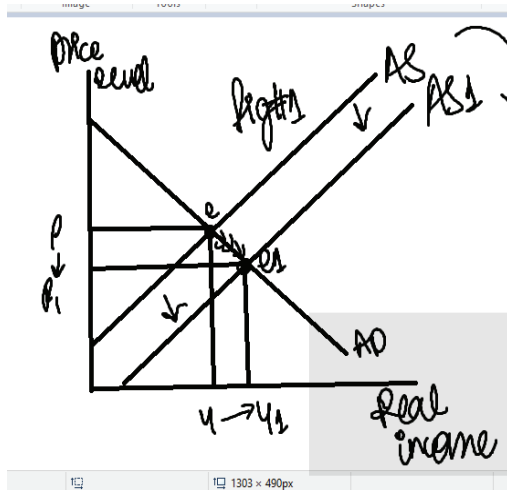
What is the country's terms of trade index for year 2?

A 90.9 B 97.8 C 110.0 D 111.0

Handwritten notes:

- Terms of trade = $\frac{\text{export prices} \times 100}{\text{import prices}}$
- $\frac{121}{110} \times 100 = 110.0$
- Ans

24-B:



“Downward shift of the Aggregate supply” curve represents a rightward shift of the Aggregate supply curve.

A rise in factor productivity, for e.g., labor productivity, whereby less labor is able to produce more with the help of less resources, for e.g., for example: machines, in less time, leading to less wastage, will result in a fall in “costs of production”, and in turn a rightward shift in the Aggregate supply curve (representing a “downward shift of the AS curve”)

This is why, key B, becomes correct.

25-C

$$\text{Balance of Trade in services (invisibles)} = \text{Export revenue from services} - \text{Import expenditure on services}$$

A – Development aid from foreign countries is an example of secondary incomes

B_ Export Revenues from primary commodities is an example of trade in goods

C- Income from foreign tourists is an example of trade in services, thus making this correct.

D – Incomes from overseas investment is an example of: primary incomes.

26-A:

A: Anyone on fixed incomes experiences a rise in real income, this is because even if the nominal income remains unchanged, it is because of deflation that represents a sustained fall in the general price level of an economy, the real incomes may increase. This is why this will be correct. This is shown below:

$$\begin{aligned} \text{fixed income ; Real income} &= \% \text{ increase in nominal income} - \text{inflation \%} \\ \text{earners} & \quad * \quad + 0\% \quad \quad - (-2\%) \\ & \quad \quad \quad \quad \quad \quad \text{because of} \\ & \quad \quad \quad \quad \quad \quad \text{deflation} \\ & \quad * \text{ This means Real incomes rise by } 2\% \end{aligned}$$

B: Higher indexation of excise duties in a period of inflation would raise receipts if taxes are imposed as a percentage on the price of the good, as in a period of inflation, prices rise.

C: Producers may not prefer deflation to inflation in a period of recession in the economy, as in such a situation whereby there is already a recession or downward multiplier effect experienced in the economy, they may deem inflation to be better.

D: Index linked savings are preferred in a period of inflation rather than deflation, this is because in case of index-linked savings, the interest rate increases annually to match with the rate of inflation, leading to the real value of savings to be protected, which will prevent money from ceasing to perform as a 'store of value' in a period of inflation.

27-C:

A: A decrease in consumer savings as a proportion of household disposable incomes, means that consumption has risen. This leads to a rise in Aggregate demand, in turn causing an upward pressure on the general price level.

B: A decrease in unemployment will lead to a rise in incomes, and in turn a rise in purchasing powers and consumer confidence, which leads to an increase in consumption expenditure, further leading to an upward pressure on the general price level.

C: An increase in labor productivity leads to a reduction in the costs of an economy, which leads to a rightward shift in the Aggregate supply curve, as a result of which, there is a surplus and in turn a fall in the general price level, leading to a reduction in "inflation"

D: An increase in taxes on imports for example: tariffs will artificially inflate the prices of imported goods, leading to a contraction in qty demanded by a smaller percentage when the demand for them is in-elastic, leading to a rise in import expenditures and in turn costs of production, leading to a reduction in Aggregate supply curve, causing an upward pressure on the general price level, leading to a rise in cost push inflation.

28-C

A-As a result of depreciation since exported goods appear relatively cheaper, there is an extension in international qty demanded by a relatively higher percentage when the demand for them is elastic, as they appear globally competitive, leading to a rise in export revenues, relative to import expenditures that fall, since as imported goods appear relatively expensive, there is a contraction in qty demanded by a higher percentage when the demand for them is elastic. This represents net injections in the circular flow, as a result of which, Aggregate demand increases, which leads to a shortage of resources and in turn puts an upward pressure on the general price level.

B-A reduction in productivity of labor will lead to a rise in costs, since labor costs form the greatest proportion of total costs of firm, leading to a reduction in Aggregate supply and in turn a rise in general price level, representing cost push inflation

C: A world-wide recession however, would lead to a fall in demand for exported goods, and when export revenues fall, this reduction in injections in the circular flow, leads to a fall in the Aggregate demand and in turn a fall in the general price level, representing that inflation has reduced.

D: Here we see that a rise in direct taxes for eg, income taxes, would have a contractionary effect on consumption, leading to a fall in Aggregate demand. But since, they have been used to increase spending on welfare payments, consumption would increase this way due to the redistributive effect. This, in turn would lead to a rise in Aggregate demand. A fall in Aggregate demand would be offset by a rise in Aggregate demand, leading to the inflation rate to not reduce.

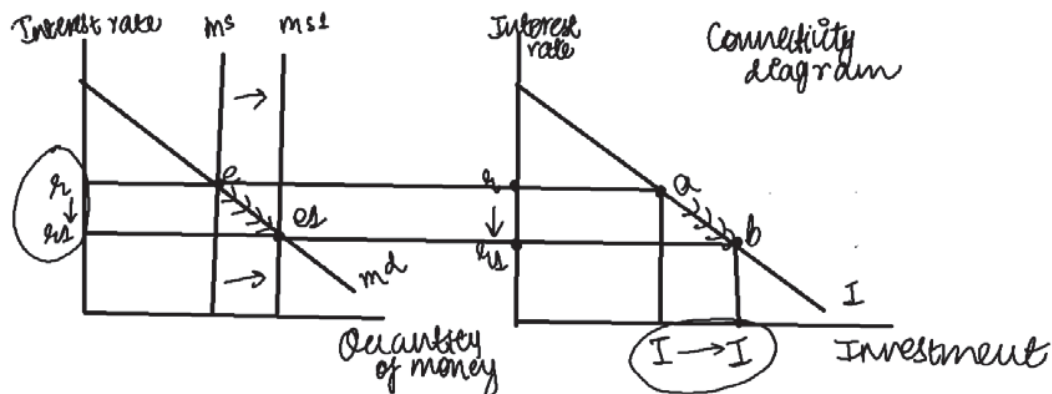
29-B

We are interested in an option that will lead to a rise in general price level, without adding to the national debt. Since, a budget deficit would increase the national debt, this means that, the government should decrease the **budget deficit**.

And to have a rise in the general price level, there must be a rise in Aggregate demand, which would occur as a result of expansionary monetary policy measures

Money supply should rise :

An increase in money supply from ms to ms_1 (through buying back bonds previously issued by the government), will increase the quantity of money in circulation from Q to Q_1 , which will lead to a surplus of money being available with the bank, as a result of which the interest rate may be lowered from ' r ' to ' r_1 ', in order to increase bank-lending. Because of a decrease in interest rates, the cost of borrowing may decrease, as a result of which firms may increase borrowing to finance capital expenditures and expansion, increasing investment expenditure on production from I to I_1 (as can be seen in the connectivity diagram in Fig 1), leading to an increase in Aggregate demand, because of injections in the circular flow. This may bring demand pull inflation when Aggregate demand outpaces Aggregate Supply.



30-A:

A: As a result of depreciation since exported goods appear relatively cheaper, there is an extension in international qty demanded by a relatively higher percentage when the demand for them is elastic as they appear globally competitive, leading to a rise in export revenues, relative to import expenditures that fall, since as imported goods appear relatively expensive, there is a contraction in qty demanded by a higher percentage when the demand for them is elastic. This represents net injections in the circular flow, as a result of which, Aggregate demand increases, which leads to a shortage of resources and in turn an upward pressure on the general price level. **THIS IS WHY, LOWER PRICE INFLATION WILL CONFLICT WITH THE ACTION OF LOWER EXCHANGE RATE.**

B: **Lower interest rates** when reduce the incentive to save by increasing the opportunity cost to save, reduces savings as a proportion of household disposable income, and in turn **causes a rise in consumption**, this is why, a conflict does not occur.

C: Lower indirect taxes, means that regressive taxes that hold a greater proportion of incomes of the poor, decrease in the case of which, the average rate of tax falls upon a rise in income, and the marginal rate of tax is lesser than the avg rate of tax, representing that for every extra \$1 earned, less is taken up in tax, which means that now as indirect taxes reduce, the prices of basic necessity products will decrease, and since the demand for them is inelastic, qty demanded will extend by a relatively smaller percentage, leading to a fall in Total expenditures of the lower income groups, making them slightly better off.

D – Smaller trade quotas mean that a lesser qty of good is allowed to be imported in the country, as a result of which, the level of imports done will reduce. Here also, no conflict is occurring.